Breaking the glass ceiling -Gender equality practices in a Japanese bank-

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Abstract

Purpose – This study explores the mechanism of the relationships between financial and non-financial outcomes and gender equality through a case study of a Japanese bank that has consistently pursued gender equality.

Design/methodology/approach – A single case study was adopted to explore the outcomes of promoting gender equality. Primary data were collected from 12 semi-structured interviews. Data were analysed by rereading and coding the interview responses coded to generate themes.

Findings – Through governance reform in Company A, women have been placed in top management positions and the number of female managers has increased, allowing frontline intentions to be reflected in decision-making. The increased number of female managers has led to a decrease in female turnover, men taking parental leave, improved training of female managers, and the recruitment of excellent new graduates. The appropriate allocation of jobs to female managers and employees also meets customer needs and has led to increased sales. Finally, involvement of women employees in product development in male-dominated workplaces brings women's experiences and perspectives to product development, resulting in the development of products that are favoured by customers.

Originality/value – This study determined the mechanism behind the relationships between financial and non-financial outcomes and gender equality, based on agency, upper echelons, resource dependence, institutional, and social role theories. It also contributes to gender equality research methodology by providing compelling qualitative stories of gender equality outcomes to increase a company's commitment to promoting gender equality.

Keywords – Gender equality, Financial performance, Non-financial performance, Male-dominated workplace

Paper type – Research paper

1. Introduction

Goal 5 of the 17 Sustainable Development Goals in the 2030 Agenda seeks to 'achieve gender equality and empower women and girls', a target whose success requires the action of all stakeholders, including countries, businesses, and people (Kobayashi and Eweje, 2021; Kobayashi, 2021). According to the World Economic Forum's Global Gender Gap Report, 2019, Japan's Gender Gap Index was 0.652, ranking 121 out of 153 countries. Among the major industrialised countries, Japan has made the least progress in closing the gender gap. The Japanese government has strongly urged companies to promote gender equality. Japan's working population continues to decline owing to ageing and a rapidly falling birth rate. To secure human resources, Japanese companies must correct the gender gap and actively promote the employment of women (Cabinet Office, 2021).

In Japan, a target was set in 2003 to 'expect at least 30% of women in leadership positions in all areas of society by 2020' (Cabinet Office, 2003). Commonly known as the 2003 target, it has remained unfulfilled. In 2012, under the second Prime Minister Shinzo Abe (December 2012–December 2014), gender equality was proposed as one of the growth strategies, including for companies, making the target more realistic. Subsequently, the Law on Promoting Women's Career Advancement in Professional Life was enacted in 2015, requiring large Japanese companies to promote gender equality.

Studies have investigated the impact of gender equality in top management on financial performance (Arena *et al.*, 2015; Gharbi and Othmani, 2022; Jeong and Harrison, 2017; Kulik, 2022; Leyva-Townsend *et al.*, 2021; Post and Byron, 2015; Terjesen *et al.*, 2009) and recommend flexible work policies (Kulik, 2022). However, the impact of the ratio of women in top management on financial performance is small, even if significant (Hoobler *et al.*, 2018; Kulik, 2022). Moreover, other studies have reported no correlation between this relationship and financial performance (Isidro and Sobral, 2015; Marinova *et al.*, 2016; Martinez-Jimenez *et al.*, 2020; Saleh *et al.*, 2021). If efforts to promote gender equality do not improve financial outcomes, such efforts could be deemed not worthwhile, thus curtailing gender-equality promoting activities (Kulik, 2022). It is, therefore, necessary to include non-financial results for a better evaluation (Kulik, 2022).

A qualitative demonstration of the practical importance of promoting gender equality is required to complement the financial outcomes of gender equality and to determine the mechanism of the relationship between financial and non-financial outcomes to promote gender equality. This would help practitioners promote gender equality (e.g. top management and managers; Aguinis *et al*., 2010; Kulik, 2022). Rather than presenting statistical results, as most previous studies have done, compelling qualitative stories and illustrations of the mechanism behind the relationship between outcomes and the promotion of gender equality can increase a company’s commitment. This is especially true if the company’s mission and values are aligned with the importance of promoting gender equality (Kulik, 2022; Sandhu and Kulik, 2019). However, little is known about how financial and non-financial outcomes relate to each other.

Further research on the relationships between the financial and non-financial outcomes of promoting gender equality in an organisation since it began promoting gender equality would be vital. Previous research has focused mainly on the outcomes of increasing the number of female senior managers (Foss *et al.,* 2022; Rhee *et al.,* 2022). However, research exploring the mechanism of the relationships between financial and non-financial outcomes of promoting gender equality in an organisation over time, until it has reached a stage of appointing female senior managers and managers, has not been conducted.

Therefore, this study explores the mechanism of the relationships between financial and non-financial outcomes by promoting gender equality through a case study of a Japanese bank that has consistently pursued gender equality (hereafter referred to as Company A). In Japan, femininity and masculinity are expressed in the family and the level of education. The division of labour by gender role has taken root in the workplace (Brinton, 1994), with the banking industry being particularly male-dominated (Ho, 2020; Komori, 2008). By focusing on a Japanese bank, this study not only advances research on gender equality outcomes but also seeks to provide a rationale for promoting gender equality in firms.

The remainder of this paper is structured as follows. Section 2 provides a literature review. Section 3 outlines the research methodology and the case company. Section 4 outlines the findings. Section 5 discusses them. Section 6 presents the conclusions, significance of the study, and future directions.

2. Literature Review

2.1 Theoretical background and gender equality outcomes

There is compelling evidence that women's representation in senior positions can be positively linked to the financial performance of companies (Ayadi *et al*., 2015; Hoobler *et al.*, 2018; Jeong and Harrison, 2017; Post and Byron, 2015; Ullah *et al*., 2019). However, the impact of the proportion of women in top management on financial performance, even if significant, is small (Hoobler *et al*., 2018; Kulik, 2022). Moreover, the literature shows that the proportion of women in top management has no effect on financial performance (Isidro and Sobral, 2015; Martinez-Jimenez *et al*., 2020; Saleh *et al*., 2021) and, at worst, could even have a negative impact in certain conditions (Jeong and Harrison, 2017; Ujunwa, 2012; Yanadori *et al.*, 2021). Consequently, Kulik (2022) argues that to increase a company's commitment to promoting gender equality, the non-financial outcomes of promoting gender equality also deserve attention.

Literature has discussed women's participation and financial and non-financial outcomes in top management based on several theories (Kulik, 2022). The agency theory describes the relationship between a principal (e.g. shareholders) and the agent of the principal (e.g. directors and managers), often considering the costs of resolving conflicts and aligning interests across groups (Jensen and Meckling, 1976). Internal (external) female directors can address agency concerns by monitoring information asymmetries between principals (e.g. shareholders) and agents (e.g. directors and managers; Terjesen *et al.*, 2009). The assumption of this theory is that 'women are outsiders who can improve decision-making processes within the firm' (Hoobler *et al*., 2018, p. 2477). The presence of women on boards can have a positive impact on firm performance by improving corporate governance and reducing the costs associated with agency problems (Post and Byron, 2015; Terjesen *et al.*, 2009). Having more women in top management also has a positive impact on non-financial information disclosure (Arayssi *et al.*, 2020; Tapver *et al.*, 2020) and risk information disclosure (Raimo *et al.*, 2022).

In resource dependency theory (Pfeffer, 1972; Pfeffer and Salancik, 1978), 'the board of directors is considered as an instrument for dealing with the organisation's environment' (Pfeffer, 1972, p. 217). When managers face challenges in resource access to cope with the changes in the organisation's environment, 'women can reduce the firm's dependency on external resources' (Hoobler *et al.*, 2018, p. 2477). Women in top management bring new skills and competencies, such as responsiveness to various stakeholders (financial markets, customers, and employees), which improves the company's reputation and both financial and non-financial performance (Disli *et al.*, 2022; Groening, 2019; Hillman *et al.*, 2007; Isidro and Sobral, 2015; Kyaw *et al.*, 2017; Terjesen *et al.*, 2009). The presence of women on boards can also help attract talented employees (Hillman *et al.*, 2007; Loukil and Yousfi, 2016; Rose, 2007; Singh and Vinnicombe, 2004). Finally, having women at the top can improve non-financial information disclosure (Ramon-Llorens *et al.*, 2021) and a company's soundness and social contribution (Rhee *et al.,* 2022).

In both agency theory and resource dependency theory, the presence of women in top management and gender-diverse boards are associated with effective governance in terms of risk-taking (Ben Saad and Belkacem, 2022). More women in top management also have a positive impact on a firm's corporate social responsibility (CSR) performance (Cullinan *et al.*, 2019; Saleh *et al.*, 2021).

In the upper echelons theory (Hambrick, 2007; Hambrick and Mason, 1984), the top management team's experiences, values, and personalities are essential to the strategic decision-making process (Dwyer *et al*., 2003; Lyngsie and Foss, 2017). The theory assumes that a 'firm's strategic choices will be a function of women's unique contributions'. (Hoobler *et al*., 2018, p. 2477); thus, women in top management would lead innovative decision-making (Lyngsie and Foss, 2017; Wu *et al*., 2022).

Legitimacy theory states that companies seek to establish legitimacy to survive by increasing the level of responsiveness to the external environment (DiMaggio and Powell, 1983; Meyer and Rowan, 1977). The presence of women on a corporate board can be a strategy to increase a firm's legitimacy (Hoobler *et al*., 2018; Terjesen *et al*., 2009) by signalling that the company values the success of women and has adopted social diversity norms. This legitimacy is important for establishing positive relationships with stakeholders and attracting diverse talent. Female directors enhance a firm's legitimacy by demonstrating institutional importance and success for women, fostering a corporate culture supportive of women's careers, and encouraging their advancement (Bilimoria, 2006). These signals also contribute to the self-selection and retention of women in top management positions and increase the likelihood of attracting and retaining women in executive ranks (Bilimoria, 2006).

Finally, social role theory suggests that leadership is shaped by organisational hierarchy and one's own position (Eagly and Johnson, 1990; Eagly and Karau, 2002; Eagly *et al*., 2003). Leadership style also differs by gender owing to the differences in the roles men and women play (Eagly and Johnson, 1990; Eagly and Karau, 2002; Eagly *et al*., 2003). Leadership style research reveals that having more female managers can promote employee participation in workplace communication and decision-making (Melero, 2011). Female managers encourage member participation and learning in large, geographically dispersed teams (Post, 2015). In addition, the presence of women in top management and gender-diverse boards encourage the introduction of new products and services (Lyngsie and Foss, 2017). Given the institutional requirements for more female managers, having more competent women in management positions enables new product/service introduction because female managers naturally emphasise communication, collaboration, consensus building and relationship building (Foss *et al.*, 2022).

Based on the quantitative results, a qualitative demonstration of the practical importance of promoting gender equality is required to complement the financial outcomes of gender equality. Specifically, it is necessary to show the mechanism of the relationship between financial and non-financial outcomes and the promotion of gender equality (Kulik, 2022), which this study explores.

2.2 Gender equality in Japanese companies

A course-based employment management system, enforced in 1985, was introduced in many Japanese companies before and after the Equal Employment Opportunity Law (Hamada, 2018). This system sets several classifications of job types, such as *Sogoshoku* and *Ippanshoku*, according to the nature of the job and transferability. The system provides employment management guidance, such as different wages, assignments, promotions, education, and training for each course, and comprises the *Sogoshoku* and *Ippanshoku* classifications. *Sogoshoku* refers to core work and requires an employee to be transferred. *Ippanshoku* involves support work for *Sogoshoku* and limited career development but does not involve transfers; women are often employed under this category, as they usually leave work after marriage or childbirth (Hamada, 2018; Lottanti von Mandach and Blind, 2021).

According to Coleman (2017), the policies promoted by Abe's cabinet, such as the Law for the Promotion of Women's Career Development, emphasise women's access to higher education and elimination of discrimination against women in the workplace, rather than expanding women's participation in non-fulltime employment. Such policies have been deemed to favour women who can work long hours, and not part-time (Dalton, 2017).

Although the law is not perfect, the percentage of women in companies with 100 or more permanent employees has been rising recently—the higher the position, the lower the proportion of women—18.3% as assistant managers, 11.2% as section managers, and 6.6% at manager levels in 2018 (Cabinet Office, 2018). The proportion of women board members for listed companies rose to 4.1% in 2018, only 0.4 percentage points higher than the previous year (Cabinet Office, 2018).

Thus, challenges remain in advancing gender equality. For example, there is still a bias against how women work, which can hinder their career development and influence their attitude towards employment (Kobayashi and Eweje, 2021). Kobayashi (2021) also discusses the need for companies, individuals, families, schools, government agencies, and other organisations to work together to promote gender equality.

3. Methodology

3.1 Research method

A single case was adopted to explore the mechanism of the relationships between financial and non-financial outcomes by promoting gender equality (Yin, 2018). The single case study was adopted because it was deemed suitable for in-depth analysis and best suited to elucidate the mechanisms underlying the relationship between financial and non-financial outcomes of promoting gender equality (Creswell and Poth, 2016; Stake, 1995; Yin, 2018). Investigating the relationships between financial and non-financial outcomes of promoting gender equality is also an extension of existing theoretical propositions, and a single case study is appropriate for such research (Yin, 2018). It is also useful for studying a unique case that provides valuable insights (Stake, 1995; Yin, 2018).

This study collected multiple sources of evidence on the case that were appropriate for the study purpose (Creswell and Poth, 2016; Yin, 2018). Primary data were collected through semi-structured interviews involving notetaking during the interviews and transcriptions of the interview recordings. Details of the semi-structured interviews are presented in Table I. All interviewees have experience promoting gender equality at various levels of the organisation. Interviewees 1, 2, 3, 4, 7, 9, and 10 have direct experience promoting gender equality in Company A's Human Resources Division (HRD) and Diversity Management Office (DMO). Interviewee 8 was directly involved in the promotion of gender equality in Company A under the leadership of Chairman B who has been leading the company's gender equality promotion as head of the Group Bank. Interviewees 1, 3, 6, 7, 9, 10, and 11 were involved in gender equality promotion as branch managers. Contrastingly, interviewees 1, 2, 4, 5, 6, and 11 were participants or involved in projects promoting gender equality. Additionally, the head of the DMO in Company A and the manager in charge of the office were present during the interviews with interviewees 1, 2, 3, 4, and 7. The interviews sought details of the background and systems of promoting gender equality in Company A, and the financial and non-financial outcomes of gender equality based on them.

[Insert Table I here]

The study also used Company A's published documents and webpage on diversity as data sources, specifically statements regarding gender equality promotion, to confirm the interviews' content. About 31 studies collected from Nikkei Business, 8 from Nikkei Computer, 7 from Nikkei Information Strategy, and 2 from Nikkei EW, all published by Nikkei Inc., were used.

In the analysis process, themes were derived through repeated reading of the interview data and coding of comments, and the following three themes were extracted by classifying codes (Creswell and Poth, 2016): gender equality and governance, gender equality and HR strategies, gender equality and relationships with customers and investors, gender equality and developing new products. The results are based on the linkages between the interpretations of these four themes and previous research (Creswell and Poth, 2016).

3.2 Company A case study

Company A, a Japanese bank, has been chosen to be a pioneer in promoting gender equality in Japan despite the industry's male-dominated nature (Ho, 2020; Komori, 2008). The company has received numerous awards in Japan for promoting gender equality. When many Japanese companies began promoting women actively in 2012 following the Abe Cabinet push, Company A had been championing women's roles for a decade. Launching in 1918, Company A has since merged with several other banks and is now a corporate group with four banks under a holding company. The group has approximately 28,000 temporary and part-time employees (17,000 women and 11,000 men).

A male-dominated, seniority-based pyramid structure allocating men to key positions and women to auxiliary positions has long prevailed in the Japanese banking industry. Women customarily assist men and retire after marriage or childbirth. However, in Company A, a management crisis in 2003 and the need for women in management propelled the review of its management structure to give women opportunities to play equally active roles. Chairman B (2003–2012) systematically made such efforts towards management reform; after his death, President C (2014–2021) continued in his stead.

Company A has been promoting efforts to achieve gender equality using key performance indicators (KPIs) and measures such as the abolition of career track and general position classifications in 2004, introduction of a merit-based wage system for non-regular sales staff in 2005, and establishment of an environment and personnel system in 2005 allowing female employees to continue working long after childbirth. In addition, the promotion of gender equality was strengthened in 2008 by initiatives to reduce gender inequality, such as the unification of the pay system for regular and non-regular employees, abolition of the education and training system based on employment status, and introduction of a gender pay system for non-regular employees. The establishment of the DMO in 2011 was also a factor that promoted gender equality.

The top management has also engaged managers and members at all organisational levels through the interactive use of information, facilitating an environment to encourage innovative ideas and implementing gender equality measures. The continued promotion of such norms and cultures has accelerated gender equality in Company A.

As of April 2021, the female manager ratio in Company A was: 1) 29.7% (1,360 employees) who have subordinates, 2) 10.5% (230 employees) who can participate in management decision-making (deputy branch managers or above), and 3) 9.9% (100 employees) who are general managers, branch managers, and room managers. By setting and managing targets and KPIs, the ratio of female managers has increased, enabling superior human resources, regardless of gender, to contribute to Company A.

4. Findings

4.1 Gender equality and governance

According to Interviewee 8, Chairman B's invitation to the company was triggered by the government's request to establish a company with committees. The governance system under Chairman B that focused on outside directors during the injection of public funds in 2003 played a vital role in promoting gender equality.

According to Interviewee 3, the progress made in gender equality makes it easier for employees to express their views and for superiors and top management to listen to these. Compared with the period when men mainly ran the board of directors and branches, there are more female managers in contact with customers and female directors with frontline experience. Interviewee 10 described the earlier period as the bank being run only by ensuring that the superiors' wills and orders were performed by their subordinates, and subordinates did not express their own opinions to superiors. By contrast, today, the president, board members, general managers, and other executives listen to the opinions of the frontline staff. In an opinion-friendly workplace, employees and managers are more likely to express their opinions about what is wrong to their superiors. According to Interviewee 3, in such an organisation, employees are more likely to take the correct actions, and the organisation is less inclined to make the wrong decisions and can respond to risks proactively.

Finally, according to Interviewee 10, the presence of external directors (including women) with an interest in sustainability issues, including gender equality since the appointment of Chairman B, has helped the board maintain a high level of interest in sustainability over a long time. Interviewee 10 described that the presence of external directors (including women) also strengthens Company A's competitiveness in sustainability, including gender equality, by setting mid- and long-term objectives.

4.2 Gender equality and HR strategies

Regarding human resources strategy, the results of promoting gender equality in recruitment are evident. Company A had little advantage over its competitors in recruitment since public funding in 2003. However, according to Interviewee 9, the quality of external evaluation of Company A has increased in recent years, suggesting that promotion of gender equality has been a factor contributing to the increase in rankings among applicants. That Company A is always at the top of such rankings for female students is cited as a result of this promotion of gender equality. It is now widely regarded as a company where women can play an active role, so much so that talented women keen to work after marriage and childbirth are now applying to Company A.

Improving the turnover rate for women has been another HR outcome of promoting gender equality. Interviewee 9 noted that in Company A, it was common for women to leave the workforce after marriage or childbirth. Interviewees 1, 4, and 9 said Company A has changed this practice; it now offers career development opportunities for women to continue working after marriage and childbirth, leading to fewer departures.

Efforts to promote gender equality affect not only the way women work but also the way men work. Establishing a system whereby men can take spousal maternity and parental leave has been cited as an achievement. Since childbirth and childcare are significant life events for men, they have the right to use these systems in the same way as women. However, according to Interviewee 10, although women's use of various systems is progressing, parental leave by men is still low. Awareness-building for using such procedures by men needs to increase. In Company A, the DMO took the lead in actively creating a workplace where men could use the spousal maternity leave and parental leave systems without hesitation, and more men have used this system since then, as described by Interviewee 4, a former DMO head. According to Interviewee 4, the rate of utilisation of parenting leave, known as spousal maternity leave, has been 100% since 2017, and the number of men taking parental leave has increased from 0.9% in 2018 to 87.5% in 2019.

4.3 Gender equality and relationships with customers and investors

Female employees of Company A have contributed to organisational financial performance in the areas of personal contact, selling investment products and insurance to customers. This is because Chairman B felt it would be effective for female employees to provide services to individual customers as half of the bank's customers were women and they held the purse strings. Interviewee 9 cited the notable financial achievements of female managers and employees in contributing to building personal liaisons by selling investment funds and insurance to customers.

Achieving high female performance in retail sales sector has also helped develop a steady stream of qualified female managers. According to interviewees 4 and 6, training of female employees has progressed well, yielding more female managers. Interviewee 6 shared that developing women to achieve results in the corporate sector remains a challenge for Company A but is highly likely to be realised. Moreover, Interviewee 4 said, given the increasing number of candidates being groomed for management positions, the number of women in the hierarchy of managing directors, branch managers, office managers and general managers is expected to increase shortly.

Promoting gender equality can also attract prospective investors to a company. Company A has been a 'Nadeshiko Brand' for long, jointly launched by the Ministry of Economy, Trade and Industry and the Tokyo Stock Exchange. Nadeshiko Brands reward companies that excel in promoting women's activities, and the performance of the stock price index of such brands has been higher than that of the Tokyo Stock Price Index (TOPIX) in the past 10 years (Ministry of Economy, Trade and Industry & Tokyo Stock Exchange, Inc, 2021). According to Interviewee 9, this distinction pushes companies to offer a workplace where women can play an equally active role as men, making it attractive to medium and long-term investors. Consequently, Company A is a target for investment, and gender equality measures are accelerated.

4.4 Gender equality and developing new products

Hearing women's opinions during the decision-making process can help identify products and services favoured by customers, in turn enhancing financial performance. An ongoing project in Company A involves female managers in the planning and development of financial products and the sales and promotion of such products and has resulted in increased sales of financial products. Company B, part of Company A, provides women with opportunities to perform planning activities for professional development. Through this project, women have provided ideas they would not have put forward in a male-dominated domain (e.g. financial product development). The financial products commercialised through the project have improved revenues, enhancing the performance of both companies. Interviewee 8, chairman of Company B, said that the sales of financial products related to the SDGs and those that address local issues, initiated by women, have improved sales revenue, contributing to financial performance.

The female managers who participated in the project (including Interviewee 11) felt that the views of the women from different departments were reflected in these financial products. Further, when making decisions, for instance, during product planning at the head office, Interviewee 11 needed help to reflect upon the opinions of frontline employees, and better results were achieved owing to their participation. Despite male-dominated decision-making practices, women in various departments can share their views.

5. Discussion

The governance system under Chairman B that focused on external directors during the injection of public funds in 2003 played a vital role in gender equality. Compared with the days when board of directors and branches were run mainly by men, there are now more female managers in contact with customers and female board members with branch manager experience. Where male executives and managers are in the majority, communication could be one-sided and autocratic regarding decision-making (Melero, 2011). Having more women in management and supervisory positions will likely facilitate different and opposing opinions during decision-making (Mazzotta and Ferraro, 2020). This is because, based on social role theory, female managers emphasise communication, collaboration, consensus building and relationship building (Alimo-Metcalfe, 2010; Bass *et al.*, 1996; Bobe and Kober, 2020; Eagly *et al*., 2003; Post, 2015).

Drawing upon upper echelons theory and resource dependency theory, having more female managers improves the strategic decision-making process (Dwyer *et al*., 2003; Lyngsie and Foss, 2017) and creates a more stable and rigorous corporate culture (Rhee *et al.*, 2022). Consequently, the increase in the number of female managers in contact with customers in branches and of female directors with branch experience has allowed different opinions and branch views to be heard and decisions to be made compared to when boards and branches were male-dominated (Mazzotta and Ferraro, 2020; Melero 2011; Rhee *et al.*, 2022).

The presence of external directors (including women) with an interest in sustainability issues, including gender equality since the appointment of Chairman B, has helped maintain a high level of interest in the board in sustainability. Drawing upon both agency theory and resource dependency theory, the presence of women in top management and gender-diverse boards is associated with a positive impact on CSR performance (Cullinan *et al.*, 2019; Saleh *et al.*, 2021). The presence of external directors also contributed to increase Company A's legitimacy by signalling that the company values the success of women (Bilimoria, 2006).

The efforts to achieve gender equality by the top management, HRD, and DMO have led to a significant decline in the number of women leaving the company owing to marriage and childbirth (Kulik, 2022), as well as the establishment of a system that allows men to take spousal and parental leave (Glass and Cook, 2018). Women can now take an active role in managerial positions. Women are also being promoted as directors and senior managers (Glass and Cook, 2018). Company A can attract top talent when recruiting new graduates because students now perceive it as a company where women can play an active role (Hillman *et al.*, 2007; Rose, 2007; Singh and Vinnicombe, 2004). Women are also better equipped to take on managerial positions, irrespective of rank (Bilimoria, 2006; Glass and Cook, 2018). Drawing upon legitimacy theory, the presence of women on boards and across levels promotes the creation of a gender-neutral workplace and the development of female managers, while concurrently responding to societal demands to promote women's advancement (Bilimoria, 2006).

These initiatives enhance the company's reputation and attract excellent human resources (Bilimoria, 2006), creating a virtuous cycle.

The development of female managers and their appropriate placement has also contributed to improved financial performance by Company A. Female employees in the retail sales sector sell investment products and insurance to customers. As female employees and managers place more emphasis on communication, collaboration, consensus building, and relationship building (Alimo-Metcalfe, 2010; Bass *et al*., 1996; Bobe and Kober, 2020; Eagly *et al*., 2003; Post, 2015), according to social role theory, this placement leads to better customer service and financial performance (Melero, 2011). Although the relationship between having women in top management and sales is not well understood (Hoobler *et al.*, 2018), the appointment of women in top management and in positions where they can demonstrate their capabilities, as well as the strategic development of female managers, is likely to lead to better customer services and sales (Melero, 2011).

As the number of female managers has gradually increased, Company A has been selected as an investment-worthy stock as one that excels at promoting successful women (Groening, 2019; Loukil *et al.*, 2019; Terjesen *et al.*, 2009). It is difficult to find a direct correlation between stock prices and the promotion of gender equality. In agency theory and resource dependency theory, however, advancing gender equality can lead to companies being valued as attractive investment targets (Groening, 2019; Loukil *et al.*, 2019; Terjesen *et al.*, 2009). This is because women in top management are expected to improve decision-making processes within the firm based on agency theory (Hoobler *et al*., 2018). In addition, according to resource dependency theory, women in top management are expected to bring new skills and competencies to respond to financial markets, which improves the company's reputation (Disli *et al.*, 2022; Groening, 2019; Hillman *et al*., 2007; Isidro and Sobral, 2015; Kyaw *et al*., 2017; Terjesen *et al*., 2009).

Finally, the group companies provide financial products and services that their customers support through the inclusion of women managers and women in male-dominated hierarchies and professions. According to upper echelons and social role theories, having female managers and employees can lead to innovative decision-making (Lyngsie and Foss, 2017; Wu *et al*., 2022). The group company project shows that involving female managers and women in male-dominated hierarchies and occupations can help create products and services that customers favour (Foss *et al.*, 2022; Lyngsie and Foss, 2017), which improves financial performance.

6. Conclusion

While there is a need to explore the mechanism of the relationships between financial and non-financial outcomes and gender equality initiatives by presenting compelling qualitative stories based on quantitative results (Kulik, 2022), this research explores the mechanisms that produce financial and non-financial outcomes by promoting gender equality, using the case study of a Japanese bank. Through governance reform, women have been placed in top management positions and the number of female managers has increased, which has allowed frontline intentions to be reflected in decision-making. In Company A, the increase in the number of female managers has not only led to an increase in the number of female managers but also a decline in turnover of women employees, men taking parental leave, improved training of female managers, and the recruitment of excellent new graduates. In addition, the appropriate allocation of jobs to female managers and employees meets customer needs and has led to increased sales. Finally, involvement of women in product development in male-dominated workplaces brings women's experiences and perspectives to product development, resulting in the development of products that customers favour.

Regarding theoretical contributions, in contrast to many previous studies that presented statistical results and tested the generalisability of the theory, this study determined the mechanism behind the relationships between financial and non-financial outcomes and gender equality, based on agency, upper echelons, resource dependence, institutional, and social role theories. It also contributes to gender equality research methodology by providing compelling qualitative stories and illustrations of gender equality outcomes to increase a company's commitment to promoting gender equality. Providing compelling qualitative stories would further progress research on gender equality to explore the relationships between the outcomes and promotion of gender equality, and the mechanisms of outcomes to promote gender equality. This study reveals the mechanism of the relationships over time until the development of female senior managers and managers.

As a practical contribution, this study demonstrates the significance of gender equality to other Japanese companies and countries with similar gender equality issues. If financial outcomes are not achieved through gender equality, companies could consider it not worthwhile to pursue. In response, this study showed the results of companies' gender equality efforts in terms of governance, HR strategies, relationships with customers and investors, and developing new products.

Finally, this study identifies three issues for further research. First, more case studies should be conducted to explore the noted relationships. Hence, companies in which most employers and employees are Japanese and consistently pursue gender equality could be targeted. Second, the results need quantitative verification to increase the generalisability of this conclusion, as they are based on a single case study. Lastly, future research needs to focus on how gender equality has been promoted and what results have been achieved in multinational companies in Japan, where corporate cultures are likely to be diverse.

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No.	Date	Gender	Position (at the time of interview)	Department	Time (minutes)
1	24 March 2020	Female	Branch manager	Branch (group bank)	140
2	3 April 2020	Male	Executive officer	Consumer Business Department, Loan Business Department, Loan Administration Department	120
3	3 April 2020	Female	Executive officer	Human Resources and Personnel Development Department	60
4	6 July 2020	Female	Department head	Diversity Management Office, Human Resources Department	120
5	8 September 2020	Female	Office head	Service Reform Office, Sales and Service Management Department (group bank)	140
6	17 September 2020	Female	Branch manager	Branch (group bank)	60
7	17 September 2020	Male	Department head	Group Strategy Department	60
8	28 June 2021	Male	Chairman	Group bank	60
9	12 July 2021	Female	Senior managing director	Consolidated subsidiary	60
10	19 July 2021	Female	External director	Group bank	60
11	26 July 2021	Female	Branch manager	Branch (group bank)	60
12	26 July 2021	Male	Office head	SDGs Promotion Office, Business Administration Department (group bank)	60

Table I: Summary of interviews